

of 10.5 percent, and a strong Gain to Pain ratio (GPR) of 1.43. (See Appendix A for an explanation of the GPR.) A proprietary account trading the futures program, which has a longer track record (inception: December 2001) and trades at much greater leverage than the client accounts, has realized an average annual compounded return of 118 percent, with an annualized standard deviation of 81 percent and a GPR of 1.94. (Besides the difference in start dates, the higher GPR is a consequence of the absence of performance fee charges on the proprietary account.) The track record for QIM's equity program consists of nonoverlapping proprietary and client accounts. The proprietary account, which traded between April 2000 and September 2005, had an average annual compounded return of 115 percent, with a 69 percent annualized standard deviation and a very high GPR of 2.69. Since its inception in May 2008, the equity program for client accounts had an average annual compounded return of 34 percent, with an annualized standard deviation of 20 percent and a very high GPR of 2.38.

Woodruff emphasizes that co-founders Michael Geismar and Greyson Williams have been critical to QIM's success. He is also extremely proud of the fact that QIM has had zero turnover in staff since its inception. (There are currently 31 employees.)

I interviewed Woodruff at his firm, QIM, located in Charlottesville, Virginia, a pretty college town. We talked in Woodruff's office, which was noteworthy for the number of books scattered everywhere, with several stacks on the low table between us. Many of these books were still new. Woodruff is clearly a voracious reader. My impression was that he buys any book that catches his interest and leaves it in plain sight so he will eventually get to it. Woodruff is 42, but looks much younger. If I didn't know him in context of being the founder of QIM, I would sooner have guessed that he was in his late twenties than in his early forties. Woodruff had looked forward to our meeting and was extremely disappointed that he had come down with a bad cold a day earlier. He repeatedly apologized for what he considered his foggy thinking and imprecise recollections. "God, I wish I weren't sick. I'm not thinking clearly," he said.⁴

